Q. What sort of tax breaks do you think can ease the impact of high inflation on the common man?

● **HIRANANDANI:** When you reduce the tax rate, your collection actually goes up. Bring all rates down to 25 per cent. Once that happens, your collections will double, not reduce.

● **RANADE:** India is one of the absolute outliers when it comes to taxes. We have some 4 per cent of the population that pays income tax. Second, the per capita income of the country is only Rs 1.2 lakh and we are asking for exemption at Rs 5-6 lakh, which is 400 per cent of the per capita income. That's like the US giving a tax exemption of a quarter million dollars. If you try to decrease direct taxes, indirect taxes are going to go up, which hurts the poor much more. GST rates have to come down to a moderate rate. The original Kelkar task force recommendation was 12 per cent. We are at 18 per cent.

● **SABNAVIS:** Today, the major concern is inflation. You go to the market and see prices have gone up by 10 to 15 per cent. Most of the corporates have already said that they're in the process of passing on higher input costs to their consumers. That's why I think cutting the income tax rate is important.



"Today, the major concern is inflation. Prices have gone up by 10 to 15 per cent. Most corporates are in the process of passing on higher input costs to their consumers. That's why cutting income tax rates is important"

MADAN SABNAVIS
Chief Economist, Bank of Baroda

Q. The Centre's advance estimates put India's growth at 7 per cent. When do you expect India to hit double digit growth?

● **SABNAVIS:** Double digit will take a very long time. It will be eight to 10 years before we get 10 per cent growth in real GDP. In the next two to three years, growth will be in the region of 6-7 per cent and then we go to 7-8 per cent. What we have seen in the past is that, in a phase of 10 years, there are always vicious cycles. We again slip back to 5-6 per cent, then get back on our feet.

● **BADALA:** In my view, it's not eight to 10 years, but maybe we will reach double-digit growth in about five to six years.

● **RANADE:** Even 7 per cent consistent growth in the next five years in a world that is in recession and marked down by the World Bank would be an outstanding performance.

● **JOSHI:** Attaining 10 per cent GDP growth is not something big unless you can sustain it.

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